The May 28, 1962, price break had its beginnings in December 1961. The downward adjustment was evidently needed and unavoidable. That it culminated in the sharp price plunge of May 28 was due to the emotional reaction—

verging on panic—shown by inexperienced investors who were unable to realize that what was happening ***had*** to happen and, what was worse, who understood almost nothing of what was going on around them. To paraphrase Abraham Lincoln, ***all*** stock market investors cannot fool themselves ***all*** of the time. The awakening had to come—

and it did.

The anatomy of a stock market boom-and-bust such as the country experienced in 1962 is not too difficult to analyze. The seeds of any bust are inherent in any boom that outstrips the pace of whatever solid factors gave it its impetus in the first place.

An old and rather corny comedy line has it that the only part of an automobile that cannot be made foolproof by a safety device is the nut that holds the wheel. By much the same token, there are no safeguards that can protect the emotional investor from himself.

Having bid the market up irrationally, these emotional investors became terrified and unloaded their holdings just as irrationally. Unfortunately, an emotionally inspired selling wave snowballs and carries with it the prices of all

issues, even those that should be going up rather than down.

Withal, I believe it is absolutely essential for the American public to bear in mind that:

1. The nation's economy was relatively sound on Friday afternoon, May 25, 1962, when the New York Stock Exchange closed for the weekend.